

Case Study Discussion:

Case Study (1): APPLE INC.: GLOBAL SUPPLY CHAIN MANAGEMENT (in CP)

Case Study (2): APPLE'S SUPPLY CHAIN TRANSFORMATION (in CP)

We want to understand the supply chain strategy of Apple Inc. Our first case is set in early 2020, and it provides a detailed description of the company's supply chain network and capabilities. The second case deals with more recent developments, and it comes to a close in February 2023. Through these two cases, we gain insights into the management of a complex, global supply chain network focused on the intersection of services, hardware and software. At the same time we have an opportunity to think of the current challenges the company faces in an environment of geopolitical risks, sustainability concerns, and the uncertainty of a transformational technology (AI) affecting its markets and competitors. (Please, read both cases as you are thinking through the questions below).

The discussion will proceed in the following phases with specific teams assigned to present in each one:

1. Role of iPhone in executing Apple strategy (TEAM 6)

How is the iPhone related to Apple's strategy to expand its services and wearable offerings? How are the product and service segments intertwined? How profitable is the iPhone? How have the margins changed since 2007? How has the Apple product-services portfolio changed over time? How do you assess the effectiveness of the portfolio shift in the current environment?

2. Understand iPhone's supply chain. (TEAM 5)

Describe for us important aspects of the iPhone supply chain (from product development, procurement, outsourcing, logistics, distribution, retail network, sustainability etc.). Do Apple's supply chain capabilities represent a source of competitive advantage? Why or Why not? Support your analysis from data from the cases.

3. Business Challenges facing Apple and implications for supply chain strategy (TEAM 3)

What are the main business challenges Apple is currently facing? How does the supply chain for the iPhone need to change as the smartphone market matures? How will the increased emphasis on services impact the supply chain? What is the impact of the “Cook Doctrine” (mentioned in page 6 of the first case) on the structure of the supply chain?

4. Trade War and Apple (TEAM 3 continues)

How big is the problem resulting from the US-China tariff and trade war for Apple? How can Apple respond to higher tariffs for imports from China? What are the risks of a supply chain relocation out of China for Apple? Which options does Apple have in adjusting its China-centered global supply chain? What other risks should Apple consider as it is rethinking the structure of its supply chain?

5. Addressing more recent developments and ways for Apple to move forward (place more emphasis on information in “Apple Supply Chain Transformation” case, and any other recent news) (TEAM 2)

(1) Should Apple try to assume more control of its supply chain, potentially by considering vertical integration? If yes, where and why should Apple deploy such a strategy?

(2) If you were Tim Cook in early 2024, what strategic recommendations would you make? What are the best ways to increase Apple’s supply chain agility to market volatility and its resilience to geopolitical and other risks?

(3) How do you expect the recent AI technological developments to affect the Apple’s product line, and what might be the implications for its global supply chain?